

## Tata Steel Ltd | TATASTEEL | Materials

Tata Steel Ltd is Asia's first integrated private steel company setup in 1907. The company has presence across the entire value chain of steel manufacturing from mining and processing iron ore and coal to producing and distributing finished products. The company has a target to increase domestic steelmaking capacity to 30 MnTPA by 2025.

### Key Performance Indicators

|        |        |        |      |              |          |
|--------|--------|--------|------|--------------|----------|
| ROE %  | ROCE % | NPM %  | D/E  | Rev CAGR 5yr | FCF (Cr) |
| -5.33% | 6.9%   | -2.14% | 0.95 | 7.77%        | 6048.0   |

### Profit & Loss Summary (Rs. Crore)

| Year    | Sales    | Op Profit | Net Profit | OPM%  | EPS  |
|---------|----------|-----------|------------|-------|------|
| 2017-03 | 112299.0 | 13144.0   | -4169.0    | 12.0% | -4.0 |
| 2018-03 | 123249.0 | 21433.0   | 17743.0    | 17.0% | 12.0 |
| 2019-03 | 157669.0 | 29318.0   | 9122.0     | 19.0% | 9.0  |
| 2020-03 | 139817.0 | 17463.0   | 1174.0     | 12.0% | 1.0  |
| 2021-03 | 156294.0 | 30504.0   | 8190.0     | 20.0% | 6.0  |
| 2022-03 | 243959.0 | 63490.0   | 41749.0    | 26.0% | 33.0 |
| 2023-03 | 243353.0 | 32300.0   | 8075.0     | 13.0% | 7.0  |
| 2024-03 | 229171.0 | 22248.0   | -4910.0    | 10.0% | -4.0 |

### Key Ratios Trend

| Year    | ROE%   | ROCE%  | D/E  | FCF(Cr) | Rev CAGR |
|---------|--------|--------|------|---------|----------|
| 2019-03 | 13.23% | 12.95% | 1.46 | -3840.0 | 1.19%    |
| 2020-03 | 1.6%   | 4.75%  | 1.58 | 6157.0  | 0.04%    |
| 2021-03 | 11.03% | 13.07% | 1.19 | 34890.0 | 8.92%    |
| 2022-03 | 36.48% | 28.63% | 0.66 | 33476.0 | 16.79%   |
| 2023-03 | 7.83%  | 12.22% | 0.82 | 3504.0  | 14.58%   |
| 2024-03 | -5.33% | 6.9%   | 0.95 | 6048.0  | 7.77%    |

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## Balance Sheet Summary (Rs. Crore)

| Year    | Equity | Reserves | Borrowings | Total Assets |
|---------|--------|----------|------------|--------------|
| 2019-03 | 1145.0 | 67780.0  | 100816.0   | 232773.0     |
| 2020-03 | 1145.0 | 72431.0  | 116328.0   | 249149.0     |
| 2021-03 | 1198.0 | 73041.0  | 88501.0    | 243909.0     |
| 2022-03 | 1221.0 | 113222.0 | 75561.0    | 282422.0     |
| 2023-03 | 1221.0 | 101861.0 | 84893.0    | 285396.0     |
| 2024-03 | 1247.0 | 90788.0  | 87082.0    | 269312.0     |

## Cash Flow Statement (Rs. Crore)

| Year    | CFO     | CFI      | CFF      | Net Cash |
|---------|---------|----------|----------|----------|
| 2022-03 | 44381.0 | -10905.0 | -23401.0 | 10075.0  |
| 2023-03 | 21683.0 | -18179.0 | -6981.0  | -3477.0  |
| 2024-03 | 20301.0 | -14253.0 | -11097.0 | -5049.0  |

## Capital Allocation Pattern

### Reinvestor

### Strengths

+ Strong free cash flow generation over 5 years signals healthy business fundamentals

### Concerns

- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Company reported a net loss in the most recent financial year
- Revenue contraction over 2 consecutive years indicates demand weakness or market share loss
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk